

KUNAL VENKATRAMAN, 35, a working professional, has been investing in mutual funds (MFs) for 10 years. Venkatraman has shifted a part of his portfolio to a passive fund from an actively managed fund and is pleased with his move. The shift has made his holdings “much more balanced,” Venkatraman, who is based in Bengaluru, says. “I am now assured of at least benchmark returns from my core holding, which is now invested in a Nifty 50 index fund. The low cost and transparency tilted my preference towards passive funds.”

Lakhs of individual investors like Venkatraman are increasingly switching to passive MFs—pools of money that mimic the movement of market indices—as a more cost-effective and safer alternative to MFs that are actively traded by the fund managers. Rising investor awareness, proliferation of digital investment platforms, and a range of new products, have contributed to the growing popularity of these funds, say experts.

58 | The debate over the merits and demerits of passive funds has gained extra currency due to extreme volatility in stock markets. Local and global factors, including tensions in the Middle East, and trade and tariff policies of US President Donald Trump have contributed to a 16.5% fall in the NSE Nifty index from its record high of 26,277.35 points in September 2024. The dip has forced investors to think about low-risk investing, which is one reason for their increased interest in passive funds.

The fact of passive investing’s growing popularity is borne out by the numbers: In February, retail investors had 593 passive schemes to choose from, an almost four-fold increase from 149 in 2020. The number of retail folios in passive funds rose 50% from 27.3 million to 40.9 million in the same period. Investors are finding passive funds more accessible and convenient, says Radhika Gupta, Managing Director and Chief Executive Officer, Edelweiss Asset Management.

Sure, the share of passive funds in India is very low when compared with developed markets like the US, where passive funds’ Assets Under Management (AUM) was about 51% as of December 2024, according to the Association of Mutual Funds in India (AMFI).

The pace of growth, however, has been rapid in recent years and months. The AUM of passive funds, which include index funds, exchange-traded funds (ETFs), gold ETFs and fund of funds investing over-

seas, reached ₹11.08 lakh crore as of February 2025 from ₹8.99 lakh crore in February 2024. Since 2021, passive AUM has grown over three times.

Out of the 243 new fund offerings last year, 140 were passive schemes. Net passive inflows in February 2025 reached ₹10,249 crore.

As of February, passive funds accounted for 16.40% of the mutual fund industry in India. This number was 7.42% in March 2020. Since March 2020, the passive AUM has grown at a compound annual growth rate of 48% while the rest of the MF industry has expanded by 23%, show AMFI data.

MF LITE

The trend has got a push from the regulator too. In November, the Securities and Exchange Board of India (Sebi) introduced MF Lite regulations, which specifies less stringent criteria for licenses for passively managed schemes.

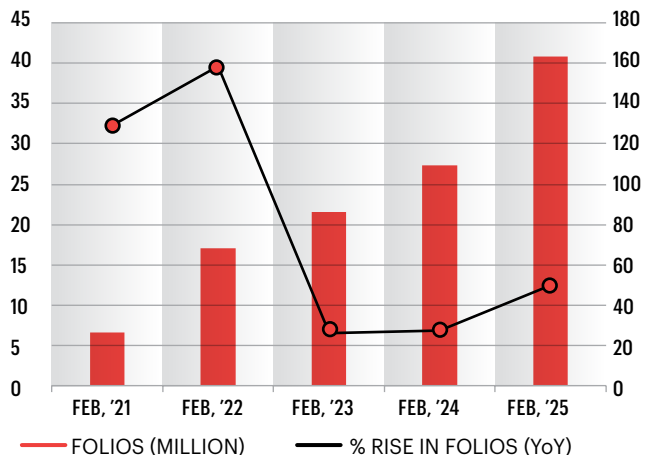
MF Lite is a simplified alternative to traditional mutual funds, designed to streamline investments in passive schemes such as index funds and ETFs. The framework streamlines compliance, reducing the operational burden on fund houses launching passive funds.

This leads to cost savings and fewer regulatory hurdles. Sebi aims to provide a more cost-effective choice

STEADY MARCH

► The number of passive folios has risen more than six times since February 2021

► The sharpest increase came between February 2021 and February 2022



SOURCE AMFI